D06 · Freight Management & Mode Selection

05 · Freight cost allocation & logistics P&L; management

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1 WHAT IT IS

Freight cost allocation assigns transport spend to the products, customers and channels that caused it, so the logistics P&L shows where money is made and lost — the basis of cost-to-serve analysis.

2 WHY IT MATTERS

When freight sits in a single overhead line, every customer looks equally profitable. **Allocating by real drivers — weight, distance, drops, urgency — usually reveals that a minority of customers or channels consumes a disproportionate share of logistics cost.** Activity-based approaches make this visible **(Kaplan and Anderson, 2004 — Time-Driven Activity-Based Costing, HBR)**.

3 HOW IT IS DONE

1. **Capture freight cost at shipment level.** Every invoice line tied to a shipment, order and customer — the TMS and freight audit make this possible.
2. **Choose allocation drivers that reflect causation.** Weight and distance for linehaul, drops for delivery, premium freight to whoever triggered it.
3. **Build the cost-to-serve view by customer and channel.** Combine freight with warehouse and order handling cost to see true contribution.
4. **Use it in commercial decisions.** Minimum order sizes, delivery frequency and pricing should respond to what the analysis shows.

IN PRACTICE

Build the logistics P&L with real allocation, not averages

An “average” Cost-to-Serve of 7% hides that Customer A is at 2.8% and Customer B is at 18.4%.

Cost-to-Serve is the foundation of differentiated logistics pricing

Minimum order quantities, delivery charges by zone, and urgency premiums become rational only when true cost is known.

Integrate the logistics P&L with the financial P&L

When logistics cost is only visible inside the logistics department it never influences commercial or pricing decisions.

ILLUSTRATIVE CASE

Illustrative case built from typical industry values — not data from a specific company.

Illustrative case — B2B distribution company, 240 active customers — First-time Cost-to-Serve analysis by customer.

Customer Segment	Revenue Share	Average CTS
Top 20 customers	82%	4.2% of revenue
Mid-tier	14%	9.8% of revenue
Long tail (80 customers)	4%	22.4% of revenue

Result: 34 long-tail customers had CTS >30% and were structurally unprofitable. Actions: minimum order $800, differentiated delivery charges, and migration of 28 low-frequency customers to self-service. Impact: -$280K annual outbound freight and +1.8 pp net margin.

HOW IT IS MEASURED

Logistics Cost as % of Revenue

Total logistics cost / Revenue × 100

Benchmark: 3–6% B2B distribution · 5–8% retail · 8–12% last-mile e-commerce

Cost to Serve per Order

(Freight + processing + packaging + returns) / Number of orders

Benchmark: $15–45/order efficient B2B · >$80/order usually signals orders that are too small

WHAT YOU WOULD USE

Logistics Costing

SAP S/4HANA — Transportation Costing & Profitability Analysis — Freight cost allocation to delivery orders and logistics P&L by channel, customer and SKU.

Power BI — Logistics Cost Dashboard — Budget vs actual, Cost-to-Serve by customer and channel.

4 SO WHAT

If freight is overhead, nobody manages it. Capture it per shipment, allocate it by causation, and put cost-to-serve in front of the people who set prices and service terms.

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